

Financial Statements

⇒ The principle means of reporting general-purpose financial information to persons outside a business organization is a set of accounting reports called financial statements.

⇒ The persons receiving these reports are termed the users of the financial statements.

⇒ They provide a structured overview of an organizational financial health and performance, financial position, profitability & future prospects.

Components of financial statements

1. Balance sheet:

o Shows the financial position of a company at a specific point in time by indicating the resources that it owns, the amount of the owner's equity & the debts that it owes.

Assets = Liabilities + owner's equity (investments)

Income Statement:

- Also known as profit and loss statement, indicate the profitability of the business over the preceding year or specific period.
- it summarizes a company's
 - Revenues
 - Expenses
 - Net income = Revenue - Expenses

Statement of cash flows:

- Summarize the cash receipts and cash payments of the business over the same period covered by the income statement.

Statement of owner's equity:

- explaining certain changes in the amount of owner's equity in the business.
- (the statement of owner's equity is replaced by statement of retained earnings).

Some Things to remember

Types of Statements

⇒ There are four types:

1. Statement of financial position (BS)
2. Statement of profit & loss (IS)
3. Statement of cash flow
4. Statement of owner's equity

every transaction will be recorded.
→ only transaction of cash

Statement of retained earnings

⇒ Not it is statement instead it is intermediary step between income stmt and balance sheet.

1) income stmt

* Statement of retained earnings

2) Balance sheet

Accumulate depreciation:

→ Tell us true value of Asset
- value of Asset - value of Dep.
owner's equity, expense, income, liability, Asset
- value of Dep.

Formula:

1st Dep 20,000

2nd Dep 20,000

3rd Dep 20,000

Acc depreciation

Asset Trial Balance
Dep. is always for one year

Assets

fixed

current

↓
Asset
↓
Dep.

↓
Dep. is always for one year
e.g. cash, Rec., stock etc.

Net Book value:

→ refers to the value of an asset as it appears on a company's balance sheet.

formula = Asset - Acc. Dep. / impairment charges / amortization

Truck 140000

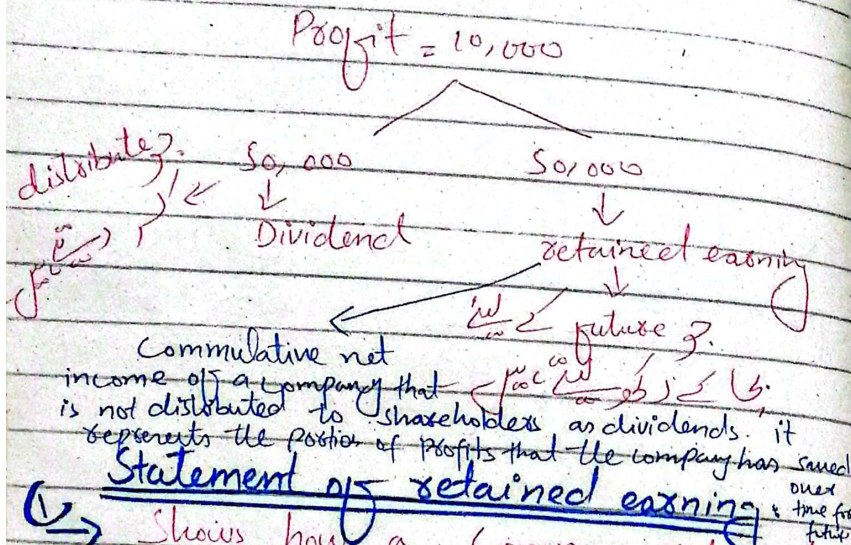
Acc Dep 75000

Net book value 65000

⇒ Dep expense is always for one year

→ Every payable + Unearned are always liability.

owner's equity / Shareholder's equity / Stockholder's equity = Capital stock + Retained earnings + Dividends



- Statement of retained earnings
- Shows how a company's retained earnings have changed over a specific period of time.
 - It is like a diary for the company's profits.
 - Which is the portion of net income that is not distributed as dividends.

Trial Balance

Trial balance → Sequence

- Assets
- owner's equity / owner's equity
- Liability
- expense
- * income

Revenue > Expense (profit) $\Rightarrow$
 else
 $R < E$ (Loss)

Debtors	- Assets
Creditors	- Liability
Purchases	- Assets
Carriage	- Assets
Bad debts	- Exp
Discount	- Exp
Sales return	- Exp
Creditors	- Liability
Provision for doubtful debts	- Liability
Sales	- Revenue
Bank / Bank balance	- Assets

Past Papers-2023

Q-5:

Income statement

Cradden Wizards

December 31, 2022

	Subtotal	Grand Total
	\$	\$
Service revenue earned		194,000
Expense:		
Insurance expense	1800	
Office rent expense	28,000	
Supplies expense	5600	
Salary expense	72,000	
Dep expense: trucks	16,000	
Dep expense: equipment	4,000	
Repairs & Maintenance exp	5,300	
Fuel exp	2,200	
Miscellaneous exp	2,700	
Interest exp	3,800	
Income taxes exp	9,000	(105,400)
Net income		43,600

Statement of retained earnings

Cradden Wizards

Statement of retained earnings
Dec 31, 2022

Formula:

Open retained earnings	21,000
Add Net income	43,600
Less Dividends (drawing)	(3,300)
Closing retained earnings	61,300

Note:

Net income کے لئے اگر loss ہے تو (-) میں لکھیں۔
اگر Net income ہے تو (+) میں لکھیں۔
اگر Dividends (drawing) ہے تو (-) میں لکھیں۔
اگر Net income ہے تو (+) میں لکھیں۔

Balance sheet

Cradden Wizards

Balance sheet

Dec 31, 2022

Assets = Liabilities +
owner's equity

Assets:	\$	\$
Cash	27,800	
A/c Rec	4,300	
Unexpired Insurance	8,700	

Prepaid rent		3200
Supplies		1400
Trucks	140,000	
Acc dep: trucks	(75,000)	65,000
Equipment	28,000	
Acc dep: equipment	(14,000)	14,000
		<u>124,400</u>
Liability:		
Accounts payable		2,200
Notes payable		38,000
Salaries payable		900
Interest payable		300
Income taxes payable		1,700
Unearned service revenue		2,000
+		
owner's equity		
Capital stock		18,000
Retained earnings		61,300
Dividends		<u>61,300</u>
		124,400

closing
 retained earnings
 - dividends

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PAYLAND
 Income statement
 As on Dec 31, 1994

	\$	\$
income:		
Admission revenue		192,000
Expense:		
Advertising exp	15,000	
Rent exp	36,000	
Repairs expense	5,200	
Salaries expense	79,000	
L & P expense	4,500	
Dep exp - building	6,000	
Dep exp - golf	15,000	
		(76,070)
Net income		<u>31,300</u>

PAYLAND
Statement of ownership
As on Dec 31, 1994

7 Starting		\$
Opening Capital		108000
Add Net income		31300
Less withdrawals		(25000)
Closing Capital		<u>114300</u>

Handwritten notes in Urdu script, including "TB" and "میں نے" (I have).

PAYLAND
Balance sheet / financial Position
As on Dec 31, 1994

	\$	\$
Assets:		
Cash		13500
A/c Rec.		2800
Building	60,000	
A/c dep-building	(12,000)	48000
Golf course structure	90000	
Acc dep GCS	(30,000)	60,000
		<u>124300</u>

Liabilities	
Acc payable	7700
Acc payable	2300
Owner's equity	
Capital	114300
	<u>124300</u>

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SUNSET REALTY
Income statement
March 31, 19__

	\$	\$
income:		
Commissions earned		20,000
Expense:		
Advertising expense	900	
Auto - rental expense	700	
Salaries expense	13,300	
Telephone expense	600	
		(15,500)
Net income		4,500

SUNSET REALTY **Statement of owner equity** **march 31, 19__**

starting	\$
Open Capital	37800
Add Net income	4500
Less with draws	(2000)
closing capital	40300

SUNSET REALTY **Balance sheet** **As on 31-Dec-19__**

	\$	\$
Assets:		
Cash		6500
Alt Rec.		5000
Land		25000
Building	72000	
Acc dep building	(400)	71600
Office equipment	24000	
Alt dep. office eq	(800)	23200
		131300

Liability:
 notes payable
 alt payable
 owner equity
 Capital

81,000
 10,000
 40300
 131300

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CELERRITY CATERERS **income statement** **As on December, 31-19__**

	\$	\$
Income:		
grossing revenue		89,500
Expense:		
Advertising expense	12500	
Insurance expense	2800	
Utilities expense	2600	
Salaries expense	46200	
Dep-exp - building	3000	
Dep-exp - office	400	
		67500
		22000

CELERRITY CATERES **Balance sheet** **As on Dec 31, 91**

	\$	\$
Assets:		
Cash		
Notes Rec.		7300
Artes Rec.		6000
Land		12800
Building	90,000	140,000
A/c dep: building	(12000)	78000
office equipment	4000	
A/c dep: OE	(1600)	2400
		246500
Liability:		
Notes payable		100,000
A/c payable		16200
owner's equity:		
Capital		130300
		246500

CELERRITY CATERERS **statement of owner's equity** **As on Dec 31, 19**

	\$
Open Capital	132,300
Add Net income	22,000
Less withdrawals	(24000)
Closing capital	130300

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Ex #4-13:-

Fishes Insurance Agency **Income statement** **As on Nov 30 - 1994**

	\$	\$
Commissions earned		7960
Expense:		
Salaries	6550	
Rent	1500	
Office Supplies	360	
Dep exp: office eq	110	(8520)
Net income		(560)

Fisher Insurance Agency

Statement of owner's equity

As on Nov, 31, 1994

	\$
start Opening Capital	12300
Less Net income	(560)
Less withdrawals	(1000)
Closing Capital	<u>10740</u>

Fisher Insurance Agency

Balance sheet

As on Nov, 31, 1994

	\$	\$
Assets:		
Cash		4980
Commissions receivable		3850
office supplies		240
office equipment	6600	
Acc dep: office equip	(2530)	4070
Liabilities:		<u>13140</u>
A/c payable		1660
Salaries payable		550
Unearned Commission		190
owner's equity Capital		<u>10740</u> <u>13140</u>